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EMPOWERED TEAMS

20 MARCH 2020

INDIA | 221 ACTIVE CASES | 5 DEATHS

WORLD | 2,54,394 ACTIVE CASES | 11,623 DEATHS

As the multilayered COVID-19 Economic Response Task Force assembled, comprising the chief economic advisor and several high-ranking bureaucrats from the Finance Ministry, experts discussed the potential economic hit due to disruptions caused by the pandemic. They were in agreement that the pandemic would vividly expose inequalities in the Indian society. The bottom 10 per cent in the economic spectrum would most likely lose their jobs. The folks who were on day jobs and had migrated to cities would be the first ones to lose their income, making it hard for them to put food on the table. Evidence shows that the bottom half of the income tier is the one who suffers the most in a recession and hence, our schemes and packages would have to be created to alleviate the pain that these folks were about to endure. But what kind of stimulus package would be good enough? The prime minister had made it amply clear that no Indian must starve to death. This would mean putting food on each Indian's table. What kind of arrangements in terms of finances, stockpiling of grains and transportation would need to be made to achieve that goal? What other kinds of stimulus outflows would be required for businesses and the middle class to ensure sustenance?

At this point, it became imperative to take a look at what other countries were providing, and the economic theories supporting those decisions. The US was about to pass a $2.2 trillion Coronavirus Aid, Relief, and Economic Security (CARES) stimulus package, which would include increased unemployment benefits, one-time cash payouts to citizens ($1,400) and